regulating private financial service providers. In addition, opening up to the global financial system eased resource constraints. The gap between investment and savings is financed by capital inflows. This changed the notion in the minds of Indian policymakers that capital is in short supply. The bottlenecks now lay not in capital, but in economic freedom and in institutional quality.

This ‘Mark 2 strategy’ unfolded from 1977 onward, and yielded a great outburst of growth during 1991–2011. These two decades stand out as the best growth experience in India’s history. For the first time, the growth pessimists were proven wrong, and India got strong growth. This impacted upon all quartiles of the income distribution. For the rich, there was wealth creation of a kind that had never been seen before. The middle class graduated to being able to afford appliances, devices and plane tickets. The poor got poverty reduction on a massive scale. For the first time in India’s history, the headcount of the poor shrank.

There was an optimism in this period of a kind that was perhaps last seen immediately after Independence. Finally, to many of us, India was getting on its feet.

The growth model of 1991–2011 has not carried forward into the following years. Private ‘under implementation’ investment projects rose from Rs 10 trillion in 2006 to Rs 50 trillion in 2011. After that, there has been a decline in *nominal* terms, to Rs 40 trillion in mid-2019. The share of non-workers, in the working-age population, stands at 60.43 per cent, in April–June 2019. [4] These statistics illustrate the difficulties that have arisen in the post-2011 period. [5]

In many other countries, the phenomenon of a ‘middle income trap’ has been observed. At the early stages of development, the simple mobilization of labour and capital suffices to escape from abject poverty. But once the minimal market economy is in place, a different level of institutional quality is required. The maturation of firms and the government creates the need for complex contracts, contract enforcement, economic regulation, and institutions that intermediate and channel the conflicts between social